

Case Number:
NAIH-2819-8/2023.
Subject:
Decision

DECISION

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) issues the following decisions in the official data protection authority procedure initiated ex officio against [...] Limited Liability Company (hereinafter: Obligor) due to the presumed violation of the provisions of the General Data Protection Regulation:

1.
The Authority establishes that the Obligor has not substantiated the existence of a legitimate interest regarding the processing of personal data stored in its database, and during the procedure, it has not justified any other legally existing legal basis; therefore, the Obligor processes the phone numbers and other personal data of the data subjects in its database without a legal basis, thereby violating Article 6(1) of Regulation (EU) 2016/679 (hereinafter: General Data Protection Regulation or GDPR), which concerns the protection of natural persons with regard to the processing of personal data and the free movement of such data, as well as the repeal of Directive 95/46/EC.
2.
The Authority establishes that the Obligor has not demonstrated the compliance of the processing of personal data stored in its database after the applicability of the GDPR on May 25, 2018, nor has it taken appropriate substantive measures for its review, thereby violating the principle of accountability under Article 5(2) of the GDPR.
3.
The Authority establishes that the Obligor, by failing to inform the data subjects of the most important information regarding data processing during the first contact with the data subjects, in consideration of the provisions of Article 14 of the GDPR, and by not providing adequate and accurate information about all essential circumstances of data processing in the data processing notices available on its website, has violated the principle of transparent data processing under Article 5(1)(a) of the GDPR, and in this regard, Articles 12(1) and 14(1)-(3) of the GDPR.
4.
Due to the violations established in points 1-3, the Authority instructs the Obligor, pursuant to Article 58(2)(d) of the GDPR, to document the deletion of the phone number and associated personal data stored in its database, acquired from [...] Ltd. "kt.a." (previously referred to in the sales contract as: [...] Ltd.) on May 7, 2018, through a sale!
5.
Due to the violations established in points 1-3, the Authority obliges the Obligor to pay a data protection fine of HUF 1,500,000, that is, one million five hundred thousand forints, which must be paid within 30 days from the date this decision becomes final.

* * *

The fine must be paid to the Authority's centralized revenue collection account (10032000-01040425-00000000 Centralized Collection Account IBAN: HU83 1003 2000 0104 0425 0000 0000). When transferring the amount, reference must be made to the NAIH-2819/2023. FINE number.

If the Obligor fails to fulfill its obligation to pay the fine within the deadline, it will be required to pay a late fee. The amount of the late fee corresponds to the statutory interest, which is equal to the central bank base rate valid on the first day of the calendar half-year affected by the delay. In the event of non-payment of the fine and the late fee, the Authority will order the enforcement of the decision, including the fine and the late fee.

collection in the manner of taxes. The collection of the fine and the late payment surcharge shall be carried out by the National Tax and Customs Administration.

The Obligor must provide written proof of compliance with the obligation set out in point 4 of the decision within 30 days following the expiration of the deadline for legal remedy against this decision, along with supporting evidence, to the Authority.

No procedural costs were incurred in the proceedings.

There is no administrative legal remedy against this decision, but it can be challenged in an administrative lawsuit with a statement of claim addressed to the Metropolitan Court within 30 days from the notification. The statement of claim must be submitted electronically to the Authority, which will forward it to the court along with the case documents. A request for a hearing must be indicated in the statement of claim. For those not fully exempt from personal fees, the administrative lawsuit fee is HUF 30,000, and the subject matter of the lawsuit is subject to fee recording rights. Legal representation is mandatory in proceedings before the Metropolitan Court.

Until the expiration of the deadline for initiating a lawsuit against the decision, or in the case of initiating an administrative lawsuit, until the court's final decision, the data subject to the disputed data processing cannot be deleted or rendered invalid.

REASONING

I.

The course of the proceedings and clarification of the facts

1. Facts revealed during the preliminary investigation procedures

(1)

The Authority conducted an investigation under case number NAIH-7678/2021, and also under case number NAIH-4949/2022 regarding the legality of data processing related to unsolicited political calls, based on the facts revealed during these investigations, the Authority established that the Obligor initiated the phone calls during the examined telephone campaigns to the phone numbers stored in its own database.

1.1. Facts revealed during the investigation conducted under case number NAIH-7678/2021:

(2)

The Obligor processes telephone numbers and residential postal codes, as well as data on residential municipalities and counties; however, in its view, postal codes, municipalities, and counties alone do not constitute personal data, only when supplemented with phone numbers can they qualify as such in a narrow context. According to the Obligor's statement, it does not process any other personal data that can be linked to the phone numbers.

(3)

The purpose of the Obligor's data processing was to carry out pre-recorded text calls during assignments and to conduct public opinion research activities, which are included among the Obligor's registered business activities (teleinformation and market and public opinion research).

(4)

The data processing is based on the legitimate interest related to the Obligor's economic activities, and the relevant balancing test was attached by the Obligor to its response letter sent to the Authority in the preliminary investigation procedure.

(5)

The Obligor acquired the personal data based on the attached contract copy on May 7, 2018, through a purchase from [...] Ltd. In this process, they purchased the personal data of 500,000 data subjects (name, phone number, residential postal code, residential municipality, residential county).

1 The form named NAIH_K01 serves for initiating the administrative lawsuit: NAIH_K01 form (2019.09.16). The form can be filled out using the general form filling program (ÁNYK program).

Further information: <https://www.naih.hu/kozig-hatarozat-birosagi-felulvizsgalata>

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(6) The personal data is stored in Excel format on a USB drive located at the Obligor's premises. Access to the USB drive containing the database is restricted to the Obligor's managing director and

one owner, and the database can only be opened with a code known exclusively to these individuals.

(7) No other person has access to the entire database; the part of the database currently in use can be accessed by the Obligor's data processor, [...] Ltd., as well as the Obligor's employees, although they do not have editing rights.

(8) The database does not have a complex menu structure; its individual rows contain data corresponding to the header. The Excel file containing the database can be opened after entering a password, for which the Obligor has attached a screenshot as proof.

(9) The location of data processing and the location of database storage is the Obligor's premises.

(10) According to its statement, the Obligor manages personal data until the purpose of data processing exists, noting that if it is deleted in consideration of the rights of the data subjects, the processing of that particular data subject's personal data will cease even before the purpose of data processing has ended, without affecting the separate storage carried out in the context of complaint handling. Furthermore, the specific personal data used for individual public opinion surveys will be stored separately from other personal or public opinion research data for 60 days from the termination of the assignment, in a manner that cannot be linked to them, in order to ensure the feasibility of the rights of the data subjects, i.e., the identifiability of individual calls.

(11) The information provided to the data subjects is done so by informing them during their phone calls about where the data processing information can be accessed, or providing the password for the data processing information upon specific request. The data processing information is password-protected because it contains data only related to the data subjects, while visitors to the website may not necessarily be data subjects, thus aiming to avoid any misunderstandings by any visitor to the website.

(12) Upon purchasing the database, the Obligor agreed with the party selling the database in the sales contract that the seller would notify the data subjects within 5 days of the data transfer, during which time the Obligor would only store the data. According to its statement, the Obligor also requested the selling company to specifically inform the data subjects about what is necessary in such cases and to notify the Obligor if the data subjects have any objections regarding the data transfer under the contract and regarding the fact that the legal basis for the Obligor's data processing would be the enforcement of the Obligor's legitimate interests. No such notifications were received from the selling company, and according to previous managing directors, no requests for the exercise of rights by data subjects or requests for information were received by the Obligor for years after the data transfer, despite the continuous use of the database.

(13) During data processing, the Obligor engages [...] Ltd. as a data processor, as the telecommunications service provider for the phone number 06 1 443 3191.

(14) The Obligor uses the management system of [...] Ltd. for handling calls, where the database and the script are uploaded.

(15) The Obligor further stated that it has attempted to appropriately differentiate its data processing information, which is continuously accessible on the website along with contact details.

(16) According to its statement, a review of the company's entire data processing is underway, involving data security and data protection professionals, and as a result of the initial findings, the Obligor has already deleted personal data that it purchased with the contract but never used, such as the names of the data subjects. Accordingly, an update of the data processing information is also in progress.

(17) According to the document titled "Interest Balancing Test" related to automatic dialing activities, submitted by the Obligor and undated, the Obligor

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Among its activities, the Obligated Party also engages in telephone information and market and public opinion research, which requires a database containing contact information. During the outbound calling activity, the Obligated Party does not transfer the personal data of the individuals to its client – whose text is spoken during the phone call initiated towards the individual concerned.

The impact of data processing on the individuals concerned can be twofold: (i) if the information conveyed is relevant to the individual, the data processing cannot be interpreted as having a negative effect; (ii) if the individual receives information that is not relevant to them, it does not affect them,

noting, however, that this is an automatic outbound calling service, during which the individual encounters a machine-generated voice recording. The effect may only manifest in that if the individual is not interested in the text conveyed during the call, they must hang up the phone or press the call end button. According to the data controller's position, this action, which takes approximately one to two seconds, does not have a substantial effect on the individual, thus there cannot be a claim of disproportionate impact on the individual, regardless of the fact that the data processing activity may momentarily, to a small extent, disturb the individual in their fundamental rights.

In summary, the Obligated Party has determined that its legitimate interest is based on the freedom of enterprise enshrined in the Fundamental Law, which is also reinforced by the Civil Code, and that the data processing does not have a disproportionate effect on the individual. Therefore, it concluded that its data processing based on legitimate interest is considered lawful, as the "exercise of the fundamental right of the Obligated Party does not significantly affect the individual that their phone rings and, in case the text conveyed is irrelevant to them, they must terminate the phone call with a single motion."

The Obligated Party also took into account that its outbound calling activity does not target the same database on a daily basis.

1.2 The Authority observed the following facts regarding the database attached by the Obligated Party during its analysis:

(18) The attached Excel file contains 565,243 records and includes the following columns with the following value types:

Postal Code

City

Type of Phone Number

(Mob/Fix)

County

Region

Type of Settlement

County

Phone Number

4-digit Numbers

0

Hungarian Settlement Names

Empty

Mobile

Fix

Empty

Counties

(including

Budapest

specifically named)

Empty

8 Main Regions

(i.e., according to the traditional Hungarian, non-EU division, e.g.: Southern Great Plain, Northern Hungary)

Budapest;

County Seat;

City with County Rights;

City;

Village;

Empty (5 settlements checked: the non-independent legal status settlements, e.g., Káptalantóti are recorded this way)

Values:

Békés

Budapest

Csongrád

Fejér

Pest

Empty

This does not contain

Empty Value

Format:

Written together with the country code

- City Name and Postal Code: predominantly contains valid pairs of Hungarian place names and postal codes.

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In each of these cases, the postal code value is filled in. Another common feature is that the second "County" column is filled in for each, with values of BÉKÉS, CSONGRÁD, FEJÉR, PEST.

Another specialty of this subset is that it contains phone numbers for which the subscriber is listed as a public number in the online telephone directory, meaning the subscriber can be identified, and one of these, for example, is verifiably listed under a company name in the directory.

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There is a subset among the data (a total of 26,272 rows) where the rows contain only postal code and phone number data.

Retrieving from the public postal code database, each of these was from SZEGED or one of its suburbs (e.g., Kiskundorozsma) or MÓRAHALOM.

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There are rows in the dataset where only a single landline number is recorded (a total of 766 records). Random checks (conducted on 5 records) show that this subset contains numbers that cannot be identified from the public directory (secret or non-existent) numbers.

1.3. Facts revealed during the ongoing investigation under NAIH-4949/2022:

(19) In the preliminary investigation initiated ex officio by the Authority under number NAIH-4949/2022, according to the statement submitted by the Obligor on June 20, 2022, which arrived at the Authority on June 20, 2022, via ePaper, between March 29, 2022, and April 1, 2022, the Obligor provided automatic voice call services to the [...] client with 139,904 successful calls, using the phone numbers provided by the client. Additionally, between March 29, 2022, and April 3, 2022, the Obligor processed 9,601,000 successful calls for the [...] Ltd. client from the Obligor's database within the framework of the automatic voice call service.

(20) The Obligor modified the above statement with another statement that arrived at the Authority on the same day via ePaper, indicating that due to an administrative error, the service provided to the [...] Ltd. was only for 9,601 calls, not 9,601,000.

(21) According to the activity log, presumably signed by its managing director, attached to the Obligor's submission dated July 11, 2022, which arrived at the Authority on July 1, 2022, the managing director received the necessary phone numbers for the calls from the [...] client on March 29, 2022, uploaded them into the IVR system, and between March 29, 2022, and April 1, 2022, these phone numbers were called automatically.

(22) In a submission dated August 2, 2022, which arrived at the Authority on August 5, 2022, via ePaper, the Obligor stated that it had reviewed its previous responses, which had already been modified once, and found further errors, therefore it was modifying them again. Accordingly, there were 9,601 successful calls made to the [...] client, while 139,904 successful calls were made to the [...] Ltd. Furthermore, the Obligor also stated that contrary to the provisions of the contract and previous statements and activity logs, it ultimately did not receive phone numbers from the [...]; however, considering the subject of the assignment, the Obligor had to start the performance, thus the Obligor used its own database to fulfill the assignment, and the data used for the performance of the

assignment were selected from the data purchased from [...] Ltd. as described in point (5).

(23) According to a statement dated July 27, 2022, which arrived at the Authority by mail on August 5, 2022, the [...] stated that no fee payment or performance occurred under the contract concluded with the Obligor, in its view, the contract terminated without performance, and it did not provide any phone numbers to the Obligor in this regard.

(24) In a submission dated October 11, 2022, which arrived at the Authority on October 11, 2022, via ePaper through its legally authorized representative, the Obligor stated in response to the Authority's question aimed at clarifying contradictions that, in its opinion, the Obligor fulfilled its contract with the [...] and that it did not terminate solely because the

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The principal has become unreachable and did not provide the telephone numbers that are the subject of the call; in the absence of an official termination statement, the contract still exists in a civil law sense.

2. Based on the established facts, the Authority made the following findings in the investigation procedure under case number NAIH-7678/2021:

(25) The Obligor conducted two distinct activities related to the examined telephone campaign, as well as during the management of the general database, which is inseparably linked to the data processing conducted in connection with the telephone calls.

(26) The Obligor processes personal data in an independent data controller capacity regarding the storage of a database containing personal data related to the telephone numbers it owns, as well as associated residential postal codes, residential municipalities, and residential counties, since the Obligor decided years ago, independently of other persons, to purchase and maintain a database containing personal data—such as name, telephone number, residential postal code, residential municipality, and residential county—for the purpose of facilitating its future activities, thus determining the means and purposes regarding the maintenance of the database—beyond the fulfillment of specific assignments—exclusively by itself.

(27) The Obligor acquired the personal data stored in its database on May 7, 2018, under a sales title from [...] Ltd., to which it attached a copy of the sales contract as proof.

(28) Upon reviewing the company register, the Authority noted that the name of [...] Ltd. was changed to [...] Ltd. on November 7, 2019, and the company was declared dissolved by the Company Court of the Capital City in its [...] decision and ordered its compulsory deletion procedure.

(29) The contract submitted by the Obligor during the investigation, as well as the Obligor's statement, did not contain information regarding the legal basis on which [...] Ltd. processed the personal data transferred to the Obligor on May 7, 2018, nor did it provide information on what information the data subjects received from [...] Ltd. both in advance and at the time of the transfer of their data to the Obligor. According to the Obligor's related statement, when purchasing the database, it agreed with [...] Ltd. that the seller would notify the data subjects within 5 days of the data transfer, during which period the Obligor only stored the data. Furthermore, the Obligor also requested the selling company to specifically inform the data subjects about what is necessary in such cases and to indicate to the Obligor if the data subjects have any objections regarding the data transfer under the contract and concerning the fact that the legal basis for the Obligor's data processing would be the legitimate interest of the Obligor.

3. Facts established during the current data protection authority procedure

(30) Considering that the Authority did not have information regarding the occurrence of the events described in the previous point (29), the Authority, in its decision NAIH-2819-1/2023, called upon the Obligor to prove the occurrence of the referenced notification, as well as to clarify its content, or, in the absence of such, to demonstrate that appropriate information was provided to the data subjects at the time of the Obligor's first use of the personal data.

(31) In connection with the Authority's call, the Obligor stated that, according to the commitment in point 5 of the sales contract concluded with [...] Ltd. on May 7, 2018, the parties agreed that [...] Ltd. would notify the data subjects about the data transfer under the contract and that the legal basis for the Obligor's data processing would be the legitimate interest of the Obligor, until May 24, 2018, based on

Section 6 (1) b) of the Infotv., and from May 25, 2018, based on Article 6 (1) f) of the General Data Protection Regulation, the data controller would be the Obligor, and the Obligor would use the purchased personal data for market and public opinion research, as well as for direct business acquisition activities.

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Furthermore, it informs the data subjects that if the data subject has a problem with this, the [...] Ltd. will notify the Obligor, who will immediately delete the data of the data subject.

(32) According to the Obligor's statement, the [...] Ltd. undertook the warranty expressed in point 2 of the referenced sales contract to act in accordance with applicable laws. Given that the notification was to be made by the [...] Ltd. based on the contract, and that the [...] Ltd. also assumed responsibility for any legal disadvantages arising from potential, unforeseen errors in the commitment in point 2 of the contract, the Obligor did not request further confirmation of the notification having taken place, as there was no justification for the Obligor to question the fulfillment of the commitment for any reason, particularly considering that there were other contractual relationships with the [...] Ltd. that were performed correctly throughout, and the communication between the parties was continuous.

(33) Based on the above, the Obligor fulfills the requirements set forth in the Authority's call with its statement, and furthermore, in its view, the Authority has called upon the Obligor to prove a commitment that is not the Obligor's obligation.

(34) According to the Obligor's statement, it attempted to contact the previous contact person of the [...] Ltd. but was unsuccessful, and the Obligor stated that it is aware that the [...] Ltd. has since changed its name and is under a compulsory deletion procedure, which, in its view, cannot be attributed to the Obligor either.

(35) The Authority called upon the Obligor to prove that at the latest at the first use of the data subjects' personal data by the Obligor, the data subjects were adequately informed. According to the Obligor's statement regarding this, during each telephone campaign, the attention of the data subjects was drawn to where the data processing information could be found, in which the Obligor endeavored to fulfill its information obligation to the best of its knowledge.

(36) Beyond the above, the Obligor stated that during its data processing, it tried to take into account the data subjects to the best of its knowledge, and when purchasing data, it entered into a contract with the seller in which the seller warranted the legality of the processing of the data being transferred, that in case of defective performance, the Obligor would be exempted from bearing the legal disadvantages, and that the data subjects would also be informed about the data transfer.

(37) During the use of the database, the Obligor drew the attention of the data subjects to the availability of its data processing information during every phone call, which – even if the Authority qualifies it as irregular – contained the contact details of the Obligor, where the Obligor was continuously available to the data subjects and still is.

(38) By the time of its response, a total of 34 requests for the exercise of rights by data subjects had been received by the Obligor.

(39) The Obligor, considering that the data purchase coincided with the time of the data protection reform, voluntarily and without consideration ensured and continues to ensure the possibility of data deletion at any time, never tying it to the exercise of the right to object.

(40) In the Obligor's view, its data processing based on legitimate interest is lawful, as “the list on page 26 of the Opinion No. 06-2014 of the Data Protection Working Group includes non-commercial unsolicited messages, including those related to political campaigns or charitable fundraising, as a category in which legitimate interest arises.”

(41) According to the Obligor's statement, its position remains steadfast in that the telephone calls to the data subjects did not cause significant impact to the data subjects (there were no personal visits or written inquiries), did not interfere with their private sphere, as the conversation could be terminated at any time, and the Obligor attempted the phone calls – in the absence of call recording – a maximum of three times during the execution of an assignment, thus it did not ring more than three times, nor did it ring all day on the data subjects' phone devices. This is also evidenced by the fact that until the parliamentary elections of 2022, not a single data subject considered the data processing by the Obligor to be so harmful that it warranted action by the Authority or a court.

would have initiated proceedings, and in fact, not all data subjects requested data deletion in the data subject rights exercise requests received by the Respondent.

(42) The Respondent, considering the passage of time and noting that during the fulfillment of the data subject rights exercise requests, it became aware that [...] Ltd. is under compulsory liquidation, and that the Ltd. is also inaccessible to the Respondent, has made preparations to review the management of the relevant database. The actual review process was initially hindered by the COVID pandemic, and secondly, the Authority's referenced investigation procedures commenced in the meantime, and the Respondent deemed it prudent to wait for the conclusion of the investigation procedures to determine the direction in which the actual review should proceed.

The Respondent undertakes, in particular, to have an operator acting personally call through the relevant database, inform the data subjects about the errors indicated by the Authority, as well as about the data processing corrected based on the Authority's guidance, and simultaneously transitioning to a consent-based legal basis, to declare to the data subjects whether they consent to future data processing; if the response from the data subjects is negative, the Respondent will delete the data subject from the database without delay.

(43) Based on Section 76 of the Act, the Authority called upon the Respondent to make a statement following the completion of the evidentiary procedure and indicated that within 5 days of receipt, it is entitled to view the case documents in the context of document inspection. The Authority granted the Respondent's request for document inspection and fulfilled it by sending copies of the documents that were made part of the procedure by the Authority.

(44) In its response letter, the Respondent stated that the case file contains all their previous statements and that no further evidentiary motions will be submitted.

(45) Confirming the statements made in its earlier declarations, the Respondent stated that it purchased the relevant personal data in good faith, and the company selling the personal data informed the Respondent that the data could be lawfully transferred, and that the data subjects would be notified about the data transfer.

Following the receipt of the personal data, the Respondent endeavored to carry out the data processing activities lawfully and to act in good faith. The Respondent considered its procedure and data processing appropriate, as it had only received a few complaints and data subject rights exercise requests since the beginning of its operations, and to its knowledge, no data subject had approached the Authority with a complaint until the preceding investigation procedure – and kept it under continuous review.

According to the Respondent's position, the legal basis for data processing was appropriately chosen for calls qualifying as feedback requests or public opinion surveys. During the performance of the relevant balancing test, the Respondent concluded that there is no interest or fundamental right of the data subjects that would take precedence over its legitimate interest indicated in the balancing test, particularly considering that the relevant calls were brief, the data subject could terminate them at any time, and the phone inquiries were not repeatedly occurring or harassing in nature.

The legal basis for data processing of informational phone calls that do not qualify as public opinion surveys and do not involve human intervention has been reviewed according to the Respondent's statement, and such a campaign is currently not being conducted and is not planned for the future. According to the Respondent's statement, it is also working on conducting the human intervention-free calls that have become the subject of the authority's procedure – regardless of whether they qualify as public opinion surveys or informational calls – in the future using a database built by itself, where the legal basis for data processing will always be the consent of the data subject, and it strives to continuously update its data processing notices to ensure full transparency of data processing.

II.

Legal provisions applicable in the case

(46) According to the preamble (171) of the General Data Protection Regulation, the General Data Protection Regulation repeals Directive 95/46/EC. Data processing that commenced before the

application date of the General Data Protection Regulation must be brought into compliance with the General Data Protection Regulation within two years from the date of its entry into force. If the data processing is based on consent under Directive 95/46/EC and the data subject provided their consent in accordance with the conditions set out in the General Data Protection Regulation, there is no need to obtain the data subject's permission again for the data controller to continue processing the data after the application date of the General Data Protection Regulation. Decisions made by the Commission under Directive 95/46/EC, as well as authorizations issued by supervisory authorities, remain in effect until they are amended, replaced, or repealed.

(47) According to Article 2(1) of the General Data Protection Regulation, the General Data Protection Regulation applies to the processing of personal data that is carried out by automated means, as well as to the non-automated processing of personal data that forms part of a filing system or is intended to form part of a filing system.

(48) According to Article 4(1) of the General Data Protection Regulation, "personal data" means any information relating to an identified or identifiable natural person ("data subject"); an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person.

(49) According to Article 5(1) of the General Data Protection Regulation, personal data must be:

a) processed lawfully, fairly, and in a transparent manner in relation to the data subject ("lawfulness, fairness, and transparency");

According to paragraph (2), the data controller is responsible for compliance with paragraph (1) and must be able to demonstrate such compliance ("accountability").

(50) Under Article 6 of the General Data Protection Regulation, the processing of personal data is lawful only if at least one of the following applies:

a) the data subject has given consent to the processing of their personal data for one or more specific purposes;

b) the processing is necessary for the performance of a contract to which the data subject is a party, or for taking steps at the request of the data subject prior to entering into a contract;

c) the processing is necessary for compliance with a legal obligation to which the data controller is subject;

d) the processing is necessary to protect the vital interests of the data subject or of another natural person;

e) the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;

f) the processing is necessary for the purposes of the legitimate interests pursued by the data controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, particularly if the data subject is a child.

The first subparagraph, point (f) does not apply to the processing of personal data by public authorities in the performance of their tasks.

(51) According to Article 12(1) of the General Data Protection Regulation, the data controller shall take appropriate measures to provide the data subject with all information regarding the processing of personal data referred to in Articles 13 and 14, as well as any information pursuant to Articles 15-22 and 34, in a concise, transparent, intelligible, and easily accessible form, using clear and plain language, particularly when addressing any information to children. The information shall be provided in writing or by other means – including, where appropriate, by electronic means. Upon request of the data subject, oral information may also be provided, provided that the identity of the data subject is otherwise verified.

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(52) Articles 14 (1)-(2) of the General Data Protection Regulation:

(1) If the personal data has not been obtained from the data subject, the data controller shall provide the data subject with the following information:

- a) the identity and contact details of the data controller and, if applicable, the representative of the data controller;
- b) the contact details of the data protection officer, if applicable;
- c) the purpose of the intended processing of personal data and the legal basis for the processing;
- d) the categories of personal data concerned;
- e) the recipients of the personal data or the categories of recipients, if applicable;
- f) where applicable, the fact that the data controller intends to transfer personal data to a recipient in a third country or to an international organization, as well as the existence or absence of a Commission adequacy decision, or in the case of transfers referred to in Article 46, Article 47, or the second subparagraph of Article 49 (1), the identification of the appropriate and suitable safeguards, as well as a reference to the means of obtaining a copy of those safeguards or the availability thereof.

(2) In addition to the information referred to in paragraph (1), the data controller shall provide the data subject with the following additional information necessary to ensure fair and transparent processing of personal data:

- a) the retention period for personal data, or, if that is not possible, the criteria used to determine that period;
- b) if the processing is based on point (f) of Article 6 (1), the legitimate interests pursued by the data controller or a third party;
- c) the data subject's right to request access to personal data concerning them, to have those data rectified, erased, or to restrict their processing, and to object to the processing of personal data, as well as the right to data portability;
- d) the right to withdraw consent at any time where the processing is based on point (a) of Article 6 (1) or point (a) of Article 9 (2), without affecting the lawfulness of processing based on consent before its withdrawal;
- e) the right to lodge a complaint with a supervisory authority;
- f) the source of the personal data and, where applicable, whether the data comes from publicly accessible sources; and
- g) the existence of automated decision-making, including profiling, as referred to in Articles 22 (1) and (4), as well as at least in those cases, meaningful information about the logic involved and the significance and the envisaged consequences of such processing for the data subject.

(53) According to Article 14 (3) of the General Data Protection Regulation, the data controller shall provide the information referred to in paragraphs (1) and (2) as follows:

- a) taking into account the specific circumstances of the processing of personal data, within a reasonable period after obtaining the personal data, but no later than one month;
- b) if the personal data are used for the purpose of contacting the data subject, at least at the time of the first contact with the data subject; or
- c) if the data are to be communicated to another recipient, no later than at the time of the first communication of the personal data.

(54) For data processing falling under the General Data Protection Regulation, the provisions of the General Data Protection Regulation shall be applied with the supplements specified in Section 2 (2) of the Infotv.

(55) According to Section 60 (1) of the Infotv, in order to ensure the exercise of the right to the protection of personal data, the Authority shall initiate a data protection authority procedure at the request of the data subject and may also initiate a data protection authority procedure ex officio.

(56) According to point (a) of Section 61 (1) of the Infotv, in its decision made in the data protection authority procedure, the Authority may apply the legal consequences specified in the General Data Protection Regulation in connection with the data processing operations defined in Section 2 (2) of the Infotv.

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(57) According to Section 71 (2) of the Infotv., the Authority may use documents, data, or other evidence lawfully obtained during its proceedings in other proceedings.

(58) Based on Section 75/A of the Infotv., the Authority exercises its powers as set out in Articles 83 (2)–(6) of the General Data Protection Regulation with regard to the principle of proportionality,

particularly by addressing the first-time violation of the provisions regarding the processing of personal data – as defined in legislation or in a binding legal act of the European Union – primarily by warning the data controller or data processor regarding the remedy of the infringement, in accordance with Article 58 of the General Data Protection Regulation.

(59) GDPR Article 58 (2) b), g), and i): In exercising its corrective powers, the supervisory authority:

b) reprimands the data controller or data processor if their data processing activities have violated the provisions of this regulation;

g) orders the rectification or deletion of personal data, or the restriction of processing, in accordance with Articles 16, 17, and 18, and orders notification of those recipients to whom personal data have been disclosed, in accordance with Article 17 (2) and Article 19;

i) imposes an administrative fine in accordance with Article 83, depending on the circumstances of the case, in addition to or instead of the measures mentioned in this paragraph.

(60) GDPR Article 83 (2): Administrative fines shall be imposed depending on the circumstances of the case, in addition to or instead of the measures mentioned in Article 58 (2) a)–h) and j). In determining whether an administrative fine is necessary and in setting the amount of the administrative fine, the following shall be duly taken into account in each individual case:

a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purposes of the processing concerned, as well as the number of data subjects affected and the level of damage suffered by them;

b) the intentional or negligent character of the infringement;

c) any measures taken by the data controller or data processor to mitigate the damage suffered by data subjects;

d) the degree of responsibility of the data controller or data processor, taking into account the technical and organizational measures implemented by them pursuant to Articles 25 and 32;

e) any relevant previous infringements by the data controller or data processor;

f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate any potentially negative effects of the infringement;

g) the categories of personal data affected by the infringement;

h) how the supervisory authority became aware of the infringement, in particular whether the data controller or data processor notified the infringement and, if so, with what detail;

i) if the data controller or data processor has previously been subject to any of the measures referred to in Article 58 (2) in relation to the same subject matter, compliance with those measures;

j) whether the data controller or data processor adhered to approved codes of conduct under Article 40 or approved certification mechanisms under Article 42; and

k) any other aggravating or mitigating factors relevant to the circumstances of the case, such as financial benefits gained or losses avoided as a direct or indirect consequence of the infringement.

(61) GDPR Article 83 (5) a) and b): The violation of the following provisions shall be subject to an administrative fine of up to EUR 20,000,000, or in the case of undertakings, an amount not exceeding 4% of the total worldwide annual turnover of the preceding financial year, whichever is higher, in accordance with paragraph (2).

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a) the principles of data processing – including the conditions for consent – in accordance with Articles 5, 6, 7, and 9;

b) the rights of data subjects in accordance with Articles 12–22.

(62) According to Section 160 (4) a) and b) of the Eht., the subscriber must be granted the right, at no additional cost, to request:

a) to be excluded from the printed or electronic directory;

b) to indicate in the subscriber directory that their personal data cannot be used – at the subscriber's discretion – for direct marketing, information, public opinion polling, or market research purposes, provided that the subscriber has explicitly specified any of these purposes in the subscriber agreement.

(63) According to Section 162 (1) of the Eht., an automated calling system or other automated tools for establishing a subscriber connection without human intervention may only be used for direct

marketing, information, or market research purposes in relation to the subscriber if:

a) the subscriber has given prior consent,

b) it cannot be used for public opinion polling purposes if the subscriber:

ba) has stated their objection according to Section 160 (4) a),

bb) has explicitly specified the purpose of public opinion polling according to Section 160 (4) b), or

bc) has objected to contact during the duration of the use of the subscriber service with a statement made at least once a year to the telecommunications service provider.

(64) According to Section 162 (2) of the Eht., it is prohibited to initiate contact with a subscriber for the purposes of direct marketing, information, public opinion polling, or market research, as well as for direct marketing not covered by Section 6 of the Grtv. or other information not qualifying as advertising under the Grtv., if the subscriber has stated that they do not wish to receive such contact.

(65) According to Section 162 (5) of the Eht., if contact for public opinion polling purposes is made without using a public database, randomly dialing a phone number generated based on the available number range (hereinafter referred to as: random number generation), the provisions of paragraph (2) do not need to be applied during the contact, except if the subscriber:

a) has stated their objection according to Section 160 (4) a), or

b) has explicitly specified the purpose of public opinion polling according to Section 160 (4) b), or

c) has objected to contact during the duration of the use of the subscriber service with a statement made at least once a year to the telecommunications service provider.

(66) According to Section 162 (6) of the Eht., the public opinion researcher is obliged to provide the phone number used for public opinion polling purposes to the National Media and Infocommunications Authority and the telecommunications service provider, thirty days prior to the commencement of the public opinion polling.

(67) According to Section 162 (7) of the Eht., in relation to the public opinion polling defined in paragraphs (1) and (5), the restrictions regarding the subscriber who has made a statement according to Section 160 (4) a) and – if the subscriber has explicitly specified the purpose of public opinion polling in their statement – b), as well as the statement according to paragraph (1) b) point bc), and paragraph (5) c) must be ensured by the service provider providing call termination traffic services blocking the public opinion researcher as the calling party.

(68) According to Section 162 (8) of the Eht., in the case of dialing following random number generation, the initiator of the contact for public opinion polling purposes, regarding the handling of name and address data for research and direct marketing purposes, is governed by Act CXIX of 1995 (the

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hereinafter: Kktv.) the public opinion research organization is obliged to inform the subscriber that the subscriber's phone number data was generated from random number generation and for what purpose the public opinion research is being conducted by the public opinion research organization.

(69) According to Section 162 (9) of the Eht., contact as defined in paragraph (5) can only occur for the purpose of public opinion research as defined by the Kktv.

****III.****

****Decision****

1. ****Subject of the current data protection authority procedure****

(70) The Authority, as stated in point (26) of this decision, established in the preliminary investigation procedure under number NAIH-7678/2021 that the Obligor processes personal data in an independent data controller capacity regarding the storage of a database containing the phone number owned by it and related personal data such as residential postal code, residential municipality, and residential county.

(71) The Authority states in connection with the investigation procedure number NAIH-4949/2022 that its jurisdiction does not extend to determining the validity of civil law contracts; however, based on the details outlined above, the Authority can ascertain that, from the perspective of the Authority's procedure, it is not of decisive significance whether the contract between the Obligor and [...] has been terminated, since the Obligor did not act in accordance with the client's instructions, did not process

the phone numbers designated by the client for the automated calls, and independently decided on the essential conditions of data processing against the client's will. Therefore, based on Article 28 (10) of the General Data Protection Regulation, the Obligor has become an independent data controller and is responsible for the data processing related to automated phone calls conducted using its own database between March 29, 2022, and April 1, 2022, regardless of the civil law qualification of the contract.

(72) In the referenced preliminary investigation procedure NAIH-7678/2021, since the Obligor performed the political calling activity based on the specific assignment using the phone numbers stored in its own database, the Authority also made findings regarding the legality of the personal data stored in the Obligor's database. However, considering that the subject of the preliminary investigation procedure was the legality of the data processing related to a specific calling activity of the Obligor, the Authority examines the legality of the processing of personal data stored in the Obligor's database within the framework of the current data protection authority procedure.

2. ****Legality of the processing of personal data stored in the Obligor's database****

(73) The phone number of a private individual, as well as the personal data stored in connection with it (name, phone number, residential postal code, residential municipality, and residential county), qualifies as personal data under Article 4 (1) of the GDPR. The general provisions of the GDPR, sectoral regulations, and, where applicable, the provisions of the contract with the service provider apply to their processing. If personal data is processed in any way, it is necessary to define the purpose and have an appropriate so-called legal basis for data processing, which can refer to the legal bases under Article 6 (1) of the GDPR in general cases of personal data processing.

(74) The Obligor indicated legitimate interest as the legal basis for the processing of personal data acquired from [...] Ltd. through a sale.

(75) In the balancing of interests attached to this, the Obligor stated that it is an economic entity engaged in telephone information, market, and public opinion research, which requires databases containing contact data for the exercise of its activities. In the data processing related to the automated calling activity, the Obligor...

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for the principal – whose text is addressed to the data subject during the initiated phone call – will never disclose the personal data of the data subjects, only fulfilling such a request where the text requested by the principal is delivered to a specified number and type of data subjects, or an attempt is made to do so.

(76) According to the reasoning in the balancing of interests, the data processing related to outbound calling can have two types of effects on the data subjects:

a) if the data subject receives appropriate and relevant information, then the data processing cannot be interpreted as having a negative effect, since the information reaches its destination regardless of whether it may also affect the fundamental rights of the data subject;

b) if the data subject receives information that is not relevant to them, it does not affect the data subject. Given that during automatic outbound calling the data subject only encounters a machine-generated voice recording upon answering the call, the effect can only be such that if the content of the call is not of interest to them, they must terminate the call. According to the Obligor's position, this few seconds of action does not have a significant effect on the data subject, thus it cannot be said that there is an undue effect on the data subject, regardless of the fact that it may potentially, albeit slightly, disturb the data subject's fundamental rights for a moment.

(77) According to the position expressed in the balancing of interests, the Obligor ensures throughout the data processing that the principles and rules contained in the GDPR are upheld, particularly the possibility of exercising the rights of the data subjects, and since, as stated above, the data processing does not have a significant effect on the data subject, no further safeguards are necessary during the data processing.

(78) The Obligor, evaluating that its legitimate interest is based on the freedom enshrined in the Fundamental Law, which is also reinforced by the Civil Code, and that the data processing does not have an undue effect on the data subjects, has concluded that its data processing based on legitimate

interest can be considered lawful, as the realization of the Obligor's fundamental right does not have a significant effect on the data subject when their phone rings and, in cases where the content of the call is irrelevant to them, they must terminate the phone call.

(79) According to the Obligor's statement, the legal basis for the processing of personal data acquired through the sale is its legitimate interest. Prior to the data transfer, the legal basis for the processing by the selling company and closely related to this is that the selling company did not have information on the source from which it obtained the data, the purpose for which it processed the data, and other information regarding the legality of its data processing, including whether the data subjects were actually informed about the transfer of the data and the fact that the data would be processed by another data controller for purposes potentially different from the original purpose.

(80) In the context of the data protection authority procedure, the Obligor stated in response to the Authority's call that according to the agreement contained in the sales contract concluded with [...] Ltd. on May 7, 2018, [...] Ltd. undertook the obligation to inform the data subjects about the data transfer under the contract and that the legal basis for the Obligor's data processing would be the Obligor's legitimate interest, and that the personal data purchased in this way would be used by the Obligor for market and public opinion research, as well as for direct business acquisition activities. According to the Obligor's statement, [...] Ltd. also undertook the obligation to inform the data subjects that if they have any issues regarding the data transfer, the selling company would notify the Obligor, who would immediately delete the data of the data subject.

(81) The Obligor further confirmed in the current data protection authority procedure its previous statement that, in its opinion, the phone calls did not cause significant effects for the data subjects (as there was neither a personal visit nor a written inquiry), did not interfere with their private sphere, as the phone conversation could be terminated at any time, and the

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The Obligor attempted to make telephone calls a maximum of three times during the execution of an assignment.

(82) In relation to the legal basis of legitimate interest, the Authority emphasizes that it is not intended for the data controller to process personal data at any time and for any reason by referring to this basis in the absence of other applicable legal bases. Although it may seem to be the most flexible legal basis, its application entails significant responsibility for the data controller, not only in the narrow sense of processing personal data but also in assuming compliance with other related guarantee obligations. Appropriate consideration, planning, and guarantees must ensure, among other things, that the data subject is aware of the data processing and can object to it, as all rights of the data subject may become void after the data processing—especially in the case of short-term or one-time data processing, such as a telephone call.

(83) Closely related to the legal basis of legitimate interest is the principle of accountability set forth in Article 5(2) of the GDPR, which imposes an obligation on the data controller to fulfill administrative burdens that ensure the transparency, accuracy, and fairness of personal data processing. It is not merely about "paperwork," but rather a substantive task, which is particularly true for data processing activities that involve heightened risks, including those related to political opinions and associated public opinion research objectives.

(84) The Obligor's balancing of interests merely established that the Obligor needs personal data to carry out its activities; however, it did not substantiate that the data processing serves the legitimate interest of the Obligor. Based on the consistent practice of the Authority, the European Data Protection Board, and the Court of Justice of the European Union, the legitimate interest under Article 6(1)(f) of the GDPR is not equivalent to merely a lawful economic interest.

(85) The data controller must specifically justify, broken down by data and purpose, why it wishes to process personal data for what purposes and what legitimate interests it has. After determining the lawful purpose, the data controller must examine, even before commencing data processing, whether the processing is necessary to achieve the purpose. In this context, it must be assessed whether there are alternative solutions available that could achieve the intended purpose without the specific data processing or with less restrictive means compared to the specific data processing. If the data controller can reasonably achieve the same result through a less restrictive means of accessing

personal data, necessity is not present, and thus the legal basis under Article 6(1)(f) cannot be applied. (86) In assessing necessity, specific facts must be evaluated considering the particular situation—how and why the data processing resolves the intended purpose, and on the other hand, analyzing why other reasonably available means are not suitable for achieving the purpose. This was completely absent from the Obligor's interest balancing, which was undated and unsigned.

(87) The Obligor's interest balancing also did not substantively address why and to what extent the data processing restricts the privacy of the data subjects, why the data processing is effective, and why it is the least restrictive means to achieve the purpose. In the complete absence of a substantive assessment of the interests and expectations of the data subjects, the Obligor could not identify and compare its legitimate interest with the rights and freedoms of the data subjects—which is a legal requirement for the least interference with the broader "private sphere" beyond the specific rights of the data subjects—thus it could not draw correct conclusions at the end of the interest balancing. The data controller must also substantiate in the interest balancing that the identified legitimate interest takes precedence over the rights and freedoms of the data subjects in the specific case. In this regard, it is necessary not only to explain why the data processing is "good" and "necessary," but also to consider all aspects of the specific data processing.

2 See the Authority's reports from 2019-2021 at various points: <https://www.naih.hu/eves-beszamolok> 16

to be taken into account, and then assessed individually and collectively. It must also be considered why no other means can be chosen, why the specific data processing is the most suitable for achieving the goal, and what guarantees the data controller provides to the data subject for the enforcement of their rights. This did not happen in the present case. The Obligor attempted to support the existence of its legitimate interest in its balancing of interests solely with the explanation that the phone call has no effect on the data subjects, as the data subject can decide at any time during the call to terminate it. However, the Authority's position is that it is not only the effect of the specific, one-time phone call on the data subject that must be considered in this case, but rather it must be assessed as a whole how the fact that the Obligor stores the phone numbers of the data subjects in its database and calls them at certain intervals, and the potential possibility of calling the data subjects at any time, affects the data subjects.

(88) Furthermore, it is unclear in terms of legality how the Obligor ensured compliance with the condition set out in Section 162 (2) of the Eht. regarding the phone numbers it manages, namely the filtering of numbers not listed in the online directory, as well as those marked as prohibited for research and marketing purposes in the online directory. Sections 160 (4) a) and b), as well as Sections 162 (1) and (2) of the Eht. provide a general right to object for data subjects, which data controllers are obliged to consider during data processing in accordance with Article 5 (1) a) of the General Data Protection Regulation. This general right to object clearly expresses the data subject's objection under the General Data Protection Regulation to any data processing for marketing or research purposes concerning their phone numbers, to which they have not specifically consented in advance. Sections 162 (5)-(9) of the Eht. also confirm and elaborate on this. Based on all of this, in the absence of the data subject's specific and prior consent, the processing of the phone number data is prohibited and unlawful, and the result of the balancing of legitimate interests cannot be adequate if the processing of phone numbers (calling or storing) occurs despite a statutory prohibition, and no specific prior consent in accordance with the General Data Protection Regulation was available for the examined data processing activities. In the case of the phone numbers managed by the Obligor, it has not been demonstrated that there are no phone numbers in its database for which the subscriber has objected to the use of their personal data for research and marketing purposes, as the Obligor's legitimate interest cannot exist in relation to these phone numbers.

(89) Based on the above, the Obligor did not substantiate the existence of its legitimate interest in the processing of personal data stored in its database during the balancing of interests, nor did it demonstrate any other legally valid legal basis during the proceedings; therefore, the Authority established that the Obligor processes the phone numbers and other personal data of the data subjects in its database without a legal basis, thereby violating Article 6 (1) of the GDPR.

3. Proper Information

(90) According to Article 12 (1) of the General Data Protection Regulation, the Obligor, as the data controller, is obliged to take appropriate measures to ensure that all information regarding the processing of personal data mentioned in Articles 13 and 14, as well as each notification under Articles 15-22 and 34, is provided to the data subjects in a concise, transparent, intelligible, and easily accessible form, clearly and in plain language.

(91) The system of proper information in the General Data Protection Regulation serves to ensure that the data subject is aware of which personal data will be processed by which data controller and for what purpose. This is essential for the data subject to be in a position to effectively exercise their rights.

(92) The Obligor conducts automatic dialing activities based on assignments using the personal data stored in its database. According to the Obligor's statement, the personal data was acquired on May 7, 2018, on the basis of a sale from [...] Ltd.

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(93) The principle of fair and transparent data processing set out in Article 5(1)(a) of the General Data Protection Regulation requires that the data subject be informed about the fact and purpose of the data processing. Therefore, one of the essential conditions for the lawfulness of data processing is that the data controller adequately informs the data subject about all important circumstances of the data processing.

(94) Articles 13-14 of the General Data Protection Regulation specify what information must be provided during the processing of personal data. Different rules (content and deadlines) apply depending on whether the data was obtained from the data subject or from another source, while the formal requirements for the information are guided by Article 12 of the General Data Protection Regulation.

(95) Since the Obligor acquired the personal data stored in its database through a sale on May 7, 2018, taking into account the provisions of Article 14 of the General Data Protection Regulation, the information to be provided to the data subjects regarding the processing of their personal data must be given within a reasonable time frame as stipulated in Article 14(3) of the GDPR, that is, it should have been made available at the first contact with the data subjects (telephone call).

(96) According to the (171) recital of the General Data Protection Regulation, the applicability of the General Data Protection Regulation, i.e., the further processing of databases created before May 25, 2018 – regardless of their previous lawfulness or lack thereof – automatically subjects their processing to the scope of the General Data Protection Regulation, thus the Obligor should have examined their compliance.

(97) In the document provided by the Obligor (the sales contract dated May 7, 2018) and in its statement, it is stated that the selling company undertook a warranty regarding the lawfulness of the processing of the personal data to be transferred in the sales contract, thus according to the contract, that the personal data was "collected, stored, and used in accordance with the provisions of the Infotv." during the performance of the contract. The selling company also undertook the obligation that in the unexpected event that data subjects or the supervisory authority assert any claims against the Obligor in connection with the processing of the data, it would be liable in place of the Obligor – according to the Obligor's written request. Furthermore, the selling company undertook the obligation to inform the data subjects about the data transfer within 5 working days from the entry into force of the contract.

(98) According to the Obligor's statement, it attempted to contact the representative of the selling company, which has since changed its name to [...] Ltd., to obtain information regarding the above, but this was unsuccessful. Furthermore, according to its statement, the Obligor was also informed that the Metropolitan Court's Company Registry ordered the compulsory liquidation of the selling company. Therefore, despite the Authority's call, the Obligor could not prove that the data subjects were notified by the selling company, nor could it prove the content of such notification.

(99) Based on the contract copy attached by the Obligor and the Obligor's statement, the Authority established that the Obligor did not examine the compliance of the processing of personal data that entered its database before May 25, 2018, and did not prove that it took appropriate substantive measures for data protection legal compliance. According to the Authority's findings, the Obligor thus

violated the accountability principle set out in Article 5(2) of the General Data Protection Regulation. The mere assertion of general legal compliance in the contract without specifics does not make the data processing lawful on paper alone. The General Data Protection Regulation provided a 2-year grace period for the review of data processing from 2016 to 2018, and more than 4 additional years have already passed since May 25, 2018. The burden of proof for the substantive review of data processing fell on the Obligor according to Article 5(2) of the General Data Protection Regulation, which it did not fulfill during the proceedings, thus the uncertainty in this regard should be assessed against the Obligor.

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(100) The Obligor also stated, at the request of the Authority, as proof that when using the personal data of the data subjects for the first time, the data subjects were adequately informed as required by Article 14, that during each telephone campaign, the data subjects were informed that the Obligor's data protection notices – which fulfill its obligation to inform – can be accessed at a specific location, and that upon special request, the password for the relevant data protection notice would be provided. According to its statement, the data protection notices are password-protected because they contain data only related to the data subjects, while visitors to the website may not necessarily be data subjects; thus, the Obligor wishes to avoid any potential misunderstanding by "any visitor to the website."

(101) However, the Authority holds the view that this statement by the Obligor does not prove that the appropriate information was provided to the data subjects at the time of the first contact with them, taking into account the provisions of Article 14 of the General Data Protection Regulation.

(102) Furthermore, based on the Obligor's statement, the Authority verified the data protection information provided by the Obligor through its website. In this regard, it found that the Obligor publishes its data protection notices related to various activities under the headings "Complaint Handling," [...], "Market Research," [...] and "General." However, among the specified data protection notices, only those under the heading [...] (Data Protection Notice related to direct business acquisition activities) and the "General" (Data Protection Notice related to complaint handling and exercise of data subject rights) can actually be accessed by anyone; access to the other data protection notices requires a password from the website. However, after extensive searching on the [...] page, under the "Services" provided by the Obligor, on the subpages presenting its various activities, at the offer request option for each service, there is a link embedded under the statement "I declare that I have read and accept the Privacy Statement, and I consent to the data processing described therein," which provides access to other data protection notices related to Market Research and the [...] service.

(103) According to the Authority's view, the Obligor does not facilitate the exercise of data subjects' rights by primarily not making all its data protection notices available to the data subjects on the summary page of its data protection notices, but only under those subpages that primarily do not address the data subjects, but rather "advertise" the services it provides. It cannot be expected of the data subjects that if they note what was said during the phone call and subsequently visit the Obligor's website, they should search extensively, opening every subpage to find the relevant data protection notice, nor is it likely that after noticing on the summary page of data protection notices that access to the notice is password-protected, they would continue browsing the site in hopes of finding relevant information regarding data processing.

(104) The Authority established that regarding the data protection notices available on the Obligor's website, the Obligor generally provides information in its data protection notice related to market and public opinion research, in its data protection notice related to automatic dialing activities, and in its data protection notice related to direct business acquisition activities about the data processing carried out in connection with these activities.

(105) The Authority found that the data protection notices differ in content regarding the purpose of data processing and the source of data processing, and it also established that the notices do not contain the essential information required by Article 14 of the GDPR:

(106) The notices do not inform the data subjects about the (real) purpose of the processing of personal data and the appropriate legal basis for the processing [GDPR Article 14 (1) (c)].

(107) According to the notices, the purpose of data processing is (i) in connection with data processing

related to automatic dialing activities, the Obligor's "legitimate interest in being able to provide a communication service to its business partners during its economic activities."

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which allows for the delivery of a pre-recorded audio message with content specified by the Ltd.'s business partner to the affected party", (ii) regarding data processing related to direct marketing activities, the Obligor's "legitimate interest in conducting direct marketing activities for itself or on behalf of a third party", while (iii) regarding data processing related to market and opinion research activities, the Obligor's "legitimate interest in conducting public opinion and market research activities as defined in Act CXIX of 1995 on the management of name and address data for research and direct marketing purposes." Furthermore, according to the data processing information, "if we process special categories of personal data during our public opinion or market research activities, the legal basis for data processing can only be your voluntary consent in accordance with Article 9(2)(a) of the GDPR." However, the data processing purposes described by the Obligor, in the Authority's view, are not specific, clearly defined purposes from which the affected parties can be aware of all essential circumstances of the data processing, the scope of the data related to them, and the process of handling their personal data, especially since it involves the designation of the legal basis determined by the data controller. Furthermore, considering the points elaborated in III.2, the information provided regarding the legal basis for data processing also contains incorrect information, and in the case of data processing related to market and opinion research activities, it designates another legal basis, the consent of the affected parties, as the legal basis for data processing, if special categories of personal data are also processed during their activities.

(108) In its response to the Authority, the Obligor provided information about the data processors it engaged; however, the data processing information does not contain any information regarding which data processors are used during data processing and what data processing activities they perform. [GDPR Article 14(1)(e)].

(109) Beyond the above, the information does not contain other important supplementary information necessary to ensure fair and transparent data processing; thus, if the lawful legal basis for data processing is the legitimate interest stated therein, it does not provide information about the facts supporting the data controller's legitimate interest.

(110) Contrary to what is stated in the Obligor's declaration to the Authority, the information mentions the affected parties themselves, a public database, or data obtained from a third party among the sources of the data, while according to the Obligor's declaration to the Authority, the personal data was acquired through a sale from [...] Ltd.

(111) Based on the details outlined above, the Authority established that the Obligor did not demonstrate that it provided adequate information to the affected parties regarding the processing of their personal data at the time of the first contact, and furthermore, during the processing of the personal data stored in its database, it did not provide adequate, accurate information to the affected parties about all essential circumstances of the data processing, thereby violating the principle of transparency set forth in Article 5(1)(a), Article 12(1), and Articles 14(1)-(3) of the General Data Protection Regulation.

4. Subsequent Change of Legal Basis for Data Processing

(112) In its declaration in response to the Authority's call, the Obligor committed to personally call through the affected database, inform the affected parties about the errors indicated by the Authority, and, based on the Authority's guidance, correct its data processing, while transitioning to a consent-based legal basis, informing the affected parties whether they consent to future data processing; if the response from the affected parties is negative, the Obligor will delete the affected party from the database without delay.

(113) For this data processing activity, the Obligor would need an appropriate purpose and legal basis; however, in the Authority's view, the Obligor does not have a valid legal basis to – the

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Authority
determination

based on

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calling each phone number stored in its database without a legal basis, and subsequently modifying the legal basis from legitimate interest to consent, which would constitute unfair data processing according to the Authority's practice.

IV.

Legal Consequences

(114) The Authority, noting that the Obligor has not substantiated a legally existing legal basis for the processing of personal data stored in its database, following the applicability of the GDPR from May 25, 2018, has not substantiated the compliance of the processing of personal data still stored in its database, nor has it taken appropriate substantive measures for its review, and has not provided information to the data subjects recorded in its database either at the first contact or generally provided adequate, truthful information to the data subjects regarding the most important information about the processing of their personal data, instructed the Obligor, based on Article 58(2)(d) of the General Data Protection Regulation, to document the deletion of the personal data stored in its database, specifically the phone number acquired from [...] Ltd. "kt.a." (previously referred to in the sales contract as: [...] Ltd.) on May 7, 2018, through a sale, and the associated personal data!

(115) Based on Section 75/A of the Infotv., the Authority exercises its powers as set out in Articles 83(2)-(6) of the General Data Protection Regulation, taking into account the principle of proportionality, particularly that in the case of the first violation of the provisions regarding the processing of personal data – as defined in legislation or in a binding legal act of the European Union – the remedy for the violation is primarily addressed by warning the data controller or data processor, in accordance with Article 58 of the General Data Protection Regulation.

(116) In this context, the Authority considered all circumstances of the case based on Article 83(2) of the General Data Protection Regulation and Section 75/A of the Infotv. Given the circumstances of the case and the nature of the data processing, the Authority determined that a warning would neither be proportional nor serve as a deterrent sanction in the case of the violation uncovered during this procedure; therefore, the Authority decided to impose a fine in accordance with Section 61(1)(a) of the Infotv. based on Article 58(2)(i) of the General Data Protection Regulation.

(117) Regarding the necessity and amount of the fine, the Authority took into account that the Obligor's last published net global market turnover (net sales revenue for the year 2022) was approximately 150,000,000 HUF according to the public e-reporting registry. The possible maximum fine, based on Article 83(5)(b) of the General Data Protection Regulation, is 20 million EUR.

(118) The Authority considered the contents of the European Data Protection Board's Guidelines 4/2022 (hereinafter: Guidelines) regarding the determination of the amount of the fine, which contains the calculation criteria for administrative fines under the General Data Protection Regulation. In this regard, the determination of the fine amount was based on the following criteria:

- (i) The Obligor's revenue in HUF is in the revenue bracket below 2 million euros.
- (ii) According to the Guidelines, in the case of violations falling under the fine category of Article 83(5) of the General Data Protection Regulation – in the case of a violation assessed as relatively low in severity – the static maximum fine ranges between 0 and 8,000 EUR (approximately 3,000,000 HUF).
- (iii) The fine amount of 1,500,000 HUF determined for the Obligor is approximately 1.008% of the annual global market turnover (revenue).

3 <https://e-beszamolo.im.gov.hu>

4 Guidelines 04/2022 on the calculation of administrative fines under the GDPR (Version 2.0.). Online: https://edpb.europa.eu/system/files/2023-06/edpb_guidelines_042022_calculationofadministrativefines_en.pdf

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(119) In determining the amount of the data protection fine, the Authority took the following mitigating circumstances into account:

- (i) No circumstances indicating the intentionality of the Obligor emerged regarding the established infringement (Article 83(2)(b) of the GDPR).

(ii) The Obligor's data processing was aimed at relational types of personal data, and primarily did not extend to the processing of exact address data (Article 83(2)(g) of the GDPR).

(iii) The Obligor committed a data protection infringement for the first time (Article 83(2)(e) of the GDPR).

(120) In determining the amount of the data protection fine, the Authority considered the following aggravating circumstances, noting that it had already assessed the point in Article 83(2)(a) of the General Data Protection Regulation in relation to the severity of the infringement, and thus did not take it into account again:

(i) The Obligor's liability for the infringement is ascertainable, considering that it did not verify the legality of the database at the time of acquisition, nor the actual provision of information to data subjects by the selling company (Article 83(2)(d) of the GDPR).

(ii) The Authority observed the likelihood of the unlawful nature of the Obligor's general data processing practices during an ex officio investigation initiated based on multiple complaints from data subjects related to the Obligor's activities, which ultimately resulted in the current data protection authority procedure (Article 83(2)(h) of the GDPR).

(iii) The data processing was also aimed at the Obligor's profit-making, as the Obligor conducts automatic telemarketing activities (public opinion research activities) based on commissions, i.e., within the framework of its economic activities. The lack of appropriate information placed the data subjects in a situation where they could not adequately understand and exercise their rights, thus their data protection risk was even greater (Article 83(2)(k) of the GDPR).

(121) In making the decision regarding legal consequences, the Authority did not consider the points of Article 83(2) of the General Data Protection Regulation that were not detailed above to be relevant in this case.

(122) The amount of the data protection fine was determined by the Authority in the exercise of its statutory discretion.

(123) Based on the criteria set out in this Section IV and all circumstances of the case, the Authority deemed the amount of the fine to be proportionate and deterrent from both the specific and general prevention perspectives. This assessment does not bind the Authority in other cases; the legal consequence – as highlighted in paragraphs 145-146 of the Guidelines – is determined in each case based on individual circumstances.

V.

Other Issues:

(124) This decision is based on Sections 80-81 of the Administrative Procedure Act (Ákr.) and Section 61(1) of the Information Act (Infotv.). The decision becomes final upon its communication in accordance with Section 82(1) of the Ákr. According to Section 112 of the Ákr., and Section 116(1) as well as Section 114(1), there is a right to legal remedy against the decision through administrative litigation.

(125) The rules of administrative litigation are determined by Act I of 2017 on Administrative Litigation (hereinafter: Kp.). According to Section 12(1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and based on Section 13(3)(a)aa) of the Kp., the Metropolitan Court is exclusively competent for the litigation. According to Section 27(1)(b) of the Kp., legal representation is mandatory in cases falling under the jurisdiction of the court. According to Section 39(6) of the Kp., unless otherwise provided by law, the submission of the statement of claim does not have a suspensive effect on the validity of the administrative act.

(126) According to Section 29(1) of the Kp. and in consideration of this, according to Section 604 of the Civil Procedure Act (Pp.), the Act CCXXII of 2015 on Electronic Administration and General Rules of Trust Services (hereinafter: E-ügyintézési tv.) stipulates in Section 9(1)(b) that the client's legal representative is obliged to maintain electronic communication.

(127) The time and place for submitting the statement of claim are determined by Section 39(1) of the Kp. Information regarding the possibility of requesting a hearing is based on Sections 77(1)-(2) of the Kp. The amount of the administrative litigation fee is determined by Section 45/A(1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The party initiating the procedure is exempt from the prior payment of

the fee under Section 59(1) and Section 62(1)(h) of the Itv.

(128) According to Section 38(2) of the Infotv., the Authority's task is to monitor and promote the enforcement of the right to the protection of personal data, as well as the right to access public interest and publicly available data, and to facilitate the free flow of personal data within the European Union. According to the same paragraph (2a), the tasks and powers assigned to the supervisory authority in the General Data Protection Regulation are exercised by the Authority in accordance with the provisions of the General Data Protection Regulation and this law concerning entities under the jurisdiction of Hungary. The Authority's jurisdiction extends to the entire territory of Hungary.

Issued in Budapest, according to the electronic signature

Dr. habil. Attila Péterfalvi

President, Professor Emeritus